Ashford Financial Group - Q3 2026 Report

Company Name

Ashford Financial Group

Sector

banking

Ticker

ASHF

Quarter

Q3 2026

Revenue

$845.2M

Revenue Growth Yoy

-2.4%

Net Profit

$185.9M

Profit Margin

22.0%

Key Highlights

• Net interest margin compressed by 18 basis points year-over-year to 2.82% due to rising deposit costs.
• Non-interest income grew by 6.5% to $210 million, driven by strong performance in wealth management fees.
• Provision for credit losses increased to $45 million, up from $30 million in Q3 2025, reflecting a more cautious macroeconomic outlook.
• Digital banking active users increased by 12% year-over-year, helping to lower branch transaction costs.

Management Commentary

Our third-quarter results reflect a challenging macroeconomic landscape characterized by persistent deposit competition and compressed net interest margins. While our core lending businesses faced headwinds, we are pleased with the resilient growth in our wealth management and digital banking segments. We remain committed to disciplined expense control and conservative underwriting standards to navigate this transitional period.

Risks And Challenges

- Elevated funding costs driven by intense competition for retail and commercial deposits.
- Potential increases in non-performing assets if consumer credit conditions deteriorate further.
- Rising regulatory compliance costs associated with newly proposed capital adequacy frameworks.

Outlook Next Quarter

For the final quarter of 2026, we anticipate continued pressure on net interest margins, though we expect deposit costs to begin stabilizing. We plan to accelerate our operational efficiency initiatives, aiming to reduce non-interest expenses by an additional 3% by year-end. Capital preservation and liquidity maintenance will remain our primary strategic priorities.